

Foreign Earned Income Tax Worksheet—Line 16

Keep for Your Records



If Form 1040 or 1040-SR, line 15, is zero, don't complete this worksheet.

1. Enter the amount from Form 1040 or 1040-SR, line 15	1.	<u>100</u>
2a. Enter the amount from your (and your spouse's if filing jointly) Form 2555, lines 45 and 50	2a.	<u>201</u>
b. Enter the total amount of any itemized deductions or exclusions you couldn't claim because they are related to excluded income	b.	<u>202</u>
c. Subtract line 2b from line 2a. If zero or less, enter -0-	c.	<u>203</u>
3. Add lines 1 and 2c	3.	<u>300</u>
4. Figure the tax on the amount on line 3. Use the Tax Table, Tax Computation Worksheet, Qualified Dividends and Capital Gain Tax Worksheet*, Schedule D Tax Worksheet*, or Form 8615, whichever applies. See the instructions for Form 1040 or 1040-SR, line 16, to see which tax computation method applies. (Don't use a second Foreign Earned Income Tax Worksheet to figure the tax on this line.)	4.	<u>400</u>
5. Figure the tax on the amount on line 2c. If the amount on line 2c is less than \$100,000, use the Tax Table to figure this tax. If the amount on line 2c is \$100,000 or more, use the Tax Computation Worksheet	5.	<u>500</u>
6. Subtract line 5 from line 4. Enter the result. If zero or less, enter -0-. Also include this amount on the entry space on Form 1040 or 1040-SR, line 16	6.	<u>600</u>

* Enter the amount from line 3 above on line 1 of the *Qualified Dividends and Capital Gain Tax Worksheet* or *Schedule D Tax Worksheet* if you use either of those worksheets to figure the tax on line 4 above. Complete the rest of that worksheet through line 4 (line 10 if you use the *Schedule D Tax Worksheet*). Next, you must determine if you have a capital gain excess. To find out if you have a capital gain excess, subtract Form 1040 or 1040-SR, line 15, from line 4 of your *Qualified Dividends and Capital Gain Tax Worksheet* (line 10 of your *Schedule D Tax Worksheet*). If the result is more than zero, that amount is your capital gain excess.

If you don't have a capital gain excess, complete the rest of either of those worksheets according to the worksheet's instructions. Then, complete lines 5 and 6 above.

If you have a capital gain excess, complete a second *Qualified Dividends and Capital Gain Tax Worksheet* or *Schedule D Tax Worksheet* (whichever applies) as instructed above but in its entirety and with the following additional modifications. Then, complete lines 5 and 6 above. These modifications are to be made only for purposes of filling out the *Foreign Earned Income Tax Worksheet* above.

1. Reduce (but not below zero) the amount you would otherwise enter on line 3 of your *Qualified Dividends and Capital Gain Tax Worksheet* or line 9 of your *Schedule D Tax Worksheet* by your capital gain excess.
2. Reduce (but not below zero) the amount you would otherwise enter on line 2 of your *Qualified Dividends and Capital Gain Tax Worksheet* or line 6 of your *Schedule D Tax Worksheet* by any of your capital gain excess not used in (1) above.
3. Reduce (but not below zero) the amount on your *Schedule D* (Form 1040), line 18, by your capital gain excess.
4. Include your capital gain excess as a loss on line 16 of your *Unrecaptured Section 1250 Gain Worksheet* in the Instructions for *Schedule D* (Form 1040).